scale, and bring down the price level in India.[11] The Committee was well aware of the low level of imports into India in 1918 and poor future prospects due to shortages of supply and production in the war-torn nations. It also knew the problems Indian exports would face with the surge in exports from competing countries with a 2s gold rate. However, the Committee dismissed all arguments with references to the high cost likely to be encountered by competing countries. J.M. Keynes was one of the star witnesses before the Committee and wrote one of his most savage pamphlets attacking the return of sterling to its pre-war parity.[12]

The Majority Report was implemented but attempts to hold the rupee at 2s ended in failure. The 2s rate was neither the *de facto* rate, nor was it warranted by world conditions. To achieve this rate the government resorted to the sale of reverse councils, dissipating up to £35.5 million of the sterling reserves, and as Purshotamdas pointed out in his Minute of dissent, contracted rupee supply by deflation to the extent of ₹350 million. The sale of reverse councils used up India's gold and sterling reserves to withdraw rupees from the country, thus contracting the currency and pushing up the rupee apart from depleting India's gold reserves. G.D. Birla argued that £55 million sterling reserves were sold at rates varying from 2s to 2s 10d compared to the old exchange rate of 1s 4d, involving a total loss of £25 million. Even gold was sold below market rates. Birla called it 'a virtual loot of India's sterling and gold.'[13]

In September 1920, the rupee was allowed to find its own level. In January 1921, Sir Vithaldas Thackersey had moved a resolution in the Assembly urging a revision of the dead ratio of 2s gold, but his resolution was defeated by four votes. Wide fluctuations followed with the rupee rate varying from 11.28d to 1s 3.87d between August 1921 and September 1924. Thereafter it followed an upward trend reaching 1s 6d sterling in October 1924, when it was equivalent to about 1s 4d gold. From that period until March 1926, the upward trend continued but the government pegged the rupee at 1s 6d by severely constricting the normal expansion of currency in the country.[14] With the return of sterling to gold in April 1925, the exchange rate of the rupee (1s 6d) came to be on a sterling-cum-gold basis. Thus, the 1s 6d exchange rate was not a statutory one but was achieved by executive action by the Currency Department of the government.